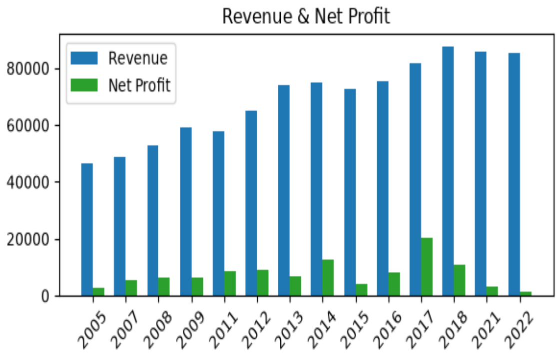
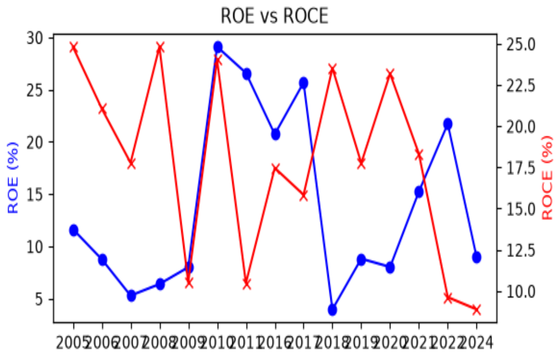
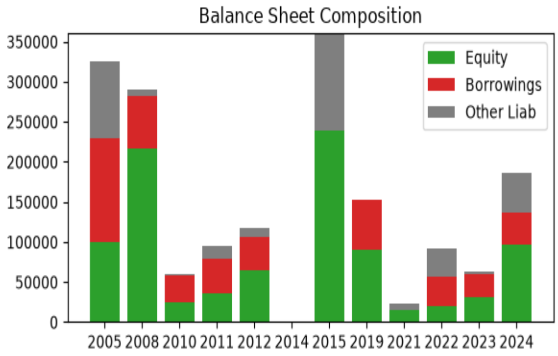
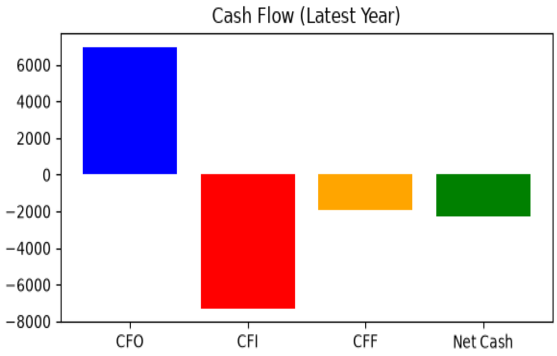
Zydus Lifesciences Ltd (ZYDUSLIFE)

Revenue	Rs. 85296.4 Cr	Net Profit	Rs. 1308.4 Cr	OPM	13.2%
ROE	9.0%	ROCE	8.9%	D/E	2.80









Capital Allocation Pattern: Unknown

Pros:

- Consistent dividend yield above 2% backed by positive free cash flow

Cons:

- Debt-to-equity ratio of 2.8 is elevated for a non-financial company and warrants monitoring
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue contraction over consecutive years indicates demand weakness or market share loss
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum